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ScienceDirect

Journal of Interactive Marketing 43 (2018) 17–32

JOURNAL OF INTERACTIVE MARKETING

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The Role of a Companion Banner and Sponsorship Transparency in Recognizing and Evaluating Article-style Native Advertising

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Available online 25 April 2018

Abstract

Native advertising is a relatively new form of online advertising that matches the format of surrounding non-advertising content. The fact that native advertising blends into its context risks deceiving consumers who may be unaware the content they are viewing is actually advertising. Article-style native advertising, a native ad form that mimics the style of online news articles, is particularly concerning since consumers may not expect advertising to appear in such a format. Such concern is supported by research finding low efficacy of traditional disclosures on article-style native advertisements. We investigate a novel means of increasing ad recognition through the use of companion banner advertising. Across two experiments we demonstrate that inclusion of a companion banner boosts consumer recognition of the paid nature of article-style native advertising to the same degree as a traditional disclosure. In both cases we also find that the negative reactions caused by ad recognition are muted when a native ad is perceived as having higher sponsorship transparency. These effects occur for both familiar and unfamiliar brands. Taken together, results not only detail the efficacy of a new means of achieving adequate disclosure, but also develop greater understanding of how consumers respond to article-style native advertising.
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Keywords: Native advertising; Deception; FTC; Banner advertising; Congruence

Introduction

Native advertising is a growing form of advertising that emulates the style and format of non-advertising content appearing in the context in which a native ad is placed (Boerman, Willemsen, and Van Der Aa 2017; FTC 2015a, 2015b; IAB 2013; Wojdynski and Evans 2016). Many different forms of native advertising exist, including those appearing in search results (e.g. Google AdWords), on social media (e.g. Facebook ads), and on online publishers (e.g. *The New York Times*' T Brand Studio). This latter form, article-style native advertising, can be considered an online equivalent of advertorials (c.f. Kim, Pasadeos, and Barban 2001; FTC 2015a; van Reijmersdal, Neijens, and Smit 2005). Article-style native advertising is on the rise, with many publishers such as *The Atlantic*, *Forbes*, and *The New York Times* creating special divisions tasked with growing this new revenue source (Carlson 2015; Vega 2013; Wemple 2013). In fact, recent estimates predict that the top 5,000 publishers of article-style native advertising will earn $6 billion in revenue in 2017 and that the overall market for this form of native advertising will hit $20 billion by 2021 (Gupta 2017).

Accompanying the recent growth of article-style native advertising is concern that it is potentially deceptive (FTC 2013a, 2015a). Deception can occur because consumers may not anticipate advertising content to appear in the form of a news article. Such expectations, coupled with the relatively subtle nature of commonly used disclosures, may act to mask the true source and commercial nature of article-style native advertising (Wojdynski and Evans 2016). These concerns led the FTC to clarify disclosure requirements for native advertising (FTC 2015a, 2015b), as well as host dedicated workshops on the ad format (FTC 2013a, 2016). While limited, existing research on article-style native advertising

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https://doi.org/10.1016/j.intmar.2018.02.002
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indicates that such concern is well founded. In a study specifically exploring the efficacy of different disclosure phrasings and positions in article-style native advertising only an average of 7% of participants (17 out of 242) recognized article-style native advertising content as advertising (Wojdynski and Evans 2016). Even the most successful disclosure phrasings ("Advertising" and "Sponsor Content") only led to advertising recognition rates of 12% and 13%, respectively. These results may even be inflated given that an increasing number of consumers now read articles on mobile devices, a context which may further obscure disclosure recognition (FTC 2015b; IAB 2016; Lella and Lipsman 2014). This suggests alternative means of achieving disclosure may be needed. Additionally, further understanding of the theoretical mechanisms driving recognition of native advertising would help to develop more effective disclosures.

Given article-style native advertising's rising prominence among publishers, as well as demonstrated low levels of ad recognition among consumers, we investigate a novel means of achieving increased disclosure of this ad form. We hypothesize that when a banner advertisement is for the sponsor of an article-style native advertisement, i.e. is a companion banner ad to the native ad, it will trigger ad recognition and associated defensive processing (Friestad and Wright 1994). We purposely examine banner advertising as a novel form of disclosure for several reasons. First, publishers seem reluctant to include more traditional forms of disclosure on their article-style native ads, with some estimates pegging 70% of publishers as failing to meet FTC guidelines (Swant 2016). While it is unclear what is driving such noncompliance, it is concerning in terms of consumer welfare. Given such reluctance to include more traditional disclosure text, publishers may instead prefer to achieve disclosure through banner advertisements. Banner advertising is not only commonly found on online articles, including article-style native ads, but also represents a source of revenue for publishers. Additionally, we note that the FTC's evaluation of disclosure efficacy is purely driven by consumer outcomes and does not prescribe specific means that must be used to achieve disclosure. The FTC is thus open to such an innovation and explicitly states that "in determining the overall impression communicated by an ad, the Commission also will consider any qualifying information contained in the ad" and that "a disclosure's adequacy ultimately will be measured by whether reasonable consumers perceive the ad as advertising" (FTC 2015a, p. 13). Given such understanding, investigation of an innovative means of achieving ad recognition for a novel ad form seems not only appropriate but also desirable.

Through two experiments we test the effect a companion banner advertisement has on consumer recognition of, and ensuing responses to, an article-style native advertisement. We demonstrate that inclusion of a companion banner ad triggers both the same effect and process provoked by more traditionally used text disclosure. We also show that the effect of a companion banner operates for both familiar and unfamiliar brands. Findings from our experiments make several important contributions. First, we introduce companion banner advertising as a novel means of achieving similar levels of ad recognition in article-style native advertising as compared to those achieved through conventional text disclosure. This provides empirical evidence of the efficacy of an alternative form of disclosure that reflects the more comprehensive conceptualization of disclosure currently in use by the FTC (2015a). Second, our studies develop greater understanding of the process underlying consumer response to article-style native advertising. In particular, we highlight the mechanism through which increased perceptions of sponsorship transparency (Wojdynski, Evans, and Hoy 2017) mitigate the negative responses brought about by ad recognition. These findings suggest that consumers are more accepting of native advertising that they perceive as more transparent. Finally, from a practical perspective, our findings suggest a means of achieving disclosure that publishers are likely to not only adopt, but also support.

In the following sections we develop a model outlining the effect of both text disclosure and companion banner ads on recognition of, and ensuing negative consumer reaction to, article-style native advertising. This model also describes how increased perceptions of sponsorship transparency, namely that a native ad is clear in communicating its nature and source, can reverse the otherwise negative effects of ad recognition. Below we develop our full model, shown in Fig. 1, in stages, beginning first with the effect of text disclosure on ad recognition.

Effect of Disclosure on Advertising Recognition

Disclosure is a common means of reducing the possibility of consumers being deceived by communications that may not necessarily be perceived as paid advertising. The FTC (1983, 2000, 2013b, 2015a) has a history of setting disclosure requirements and compliance with these regulatory requirements

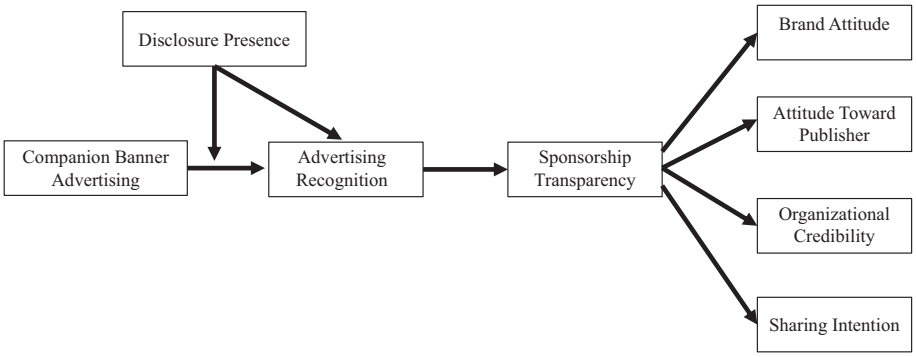


Fig. 1. Study 1 model.

is encouraged by numerous industry organizations such as the Interactive Advertising Bureau (IAB) and the Advertising Self-Regulatory Council (ASRC). Of importance, the FTC (2015a, 2015b) does not prescribe inclusion of a disclosure, or its particular characteristics, but instead judges the "net impression" that an advertisement conveys when considering its potential to deceive consumers. As such, both characteristics of an included disclosure, such as its font and size (Cameron and Ju-Pak 2000), as well as characteristics of the advertisement itself, such as presence of a sponsor's name or logo (Armstrong, Gurol, and Russ 1980) or its very format (FTC 1970, 2015a, 2015b), can contribute to ensuring adequate disclosure. Achievement of adequate disclosure is defined as a "reasonable consumer" being able to detect the source and meaning of an advertisement (FTC 1983, 2015a).

Research on disclosures in offline environments finds that they generally increase consumer ability to recognize content as advertising (Boerman, van Reijmersdal, and Neijens 2012, 2014, 2015; Campbell, Mohr, and Verlegh 2013). Emerging research on native advertising also finds that inclusion of a disclosure increases consumer ability to recognize it as advertising, though effects are slight in the context of article-style native advertising (Boerman, Willemsen, and Van Der Aa 2017; Wojdynski and Evans 2016). Disclosures work to increase ad recognition by providing consumers with additional information that is diagnostic in realizing content is actually advertising. Disclosures work to facilitate the "change of meaning" that occurs when a consumer realizes that something is advertising (Friestad and Wright 1994). For content that is already clearly recognized as advertising, disclosures are likely to have little impact on ad recognition. However, in the case of native advertising, which is inherently difficult to recognize since it is designed to blend in, inclusion of a clear and conspicuous disclosure is likely to provide important diagnostic information to consumers. Provided a disclosure is clear and conspicuous, we expect that including one will cause consumers to more readily identify a native advertisement as advertising:

H1. Presence of a disclosure leads to increased ad recognition relative to when a disclosure is not present.

Effects of a Companion Banner Ad on Native Ad Recognition

While disclosures are one means of overtly conveying that a native ad is advertising, consumers are often able to recognize advertising even without a disclosure. The very format of an ad, such as a traditional 15-second television spot or full-page print ad, is one means through which consumers recognize advertising (FTC 2013b, 2015a). Since native advertising is designed to blend into the context in which it is placed, format is not a reliable means for consumers to recognize native advertising as advertising. However, even absent a difference in formatting, consumers can also infer a piece of content is advertising based on its message (Friestad and Wright 1994; FTC 2013b, 2015a; Kirmani and Zhu 2007). Consumers may be able to pick up on the extent to which a native advertising article is one- or two-sided, as well as whether a single brand or multiple brands are mentioned. These attributes of a message help infer bias and the source's underlying motivations. We propose that such consumer inferences can be assisted by the presence of surrounding companion advertising, in this study's case a banner ad, for the same brand featured in an article-style native advertisement.

There are two underlying mechanisms through which companion advertising can serve to assist recognition of native advertising. First, a companion banner ad increases the presence of the brand on the web page, increasing the salience of the brand in the mind of a consumer. This will make it more likely that a consumer recognizes mentions of the same brand within a native ad article on the same page. Second, and possibly more importantly, the format of banner ads makes the banner ad likely to be recognized as advertising. Consumers who see the companion banner ad are thus likely to recognize it as advertising, and also assume the brand advertised in the banner is the ad's sponsor. The companion banner ad therefore connects the advertised brand with the concept of advertising in the consumer's mind. Research on associative theories suggests that increasing the perceived relevance, fit, or linkage between concepts can enhance cognitive processing (Anderson 1983). The association between the brand and advertising caused by the banner ad is likely to be salient when reading or evaluating the article-style native ad (Rodgers 2003). This salience will make brand mentions within the article, possibly coupled with other article characteristics, more likely to trigger ad recognition within consumers. In other words, use of a companion banner allows recognition of the banner as advertising to 'spillover' to article-style native ad for the same brand. Therefore, we expect:

H2. Presence of a companion banner ad leads to increased ad recognition compared to when a non-companion banner ad is present.

Inclusion of a disclosure or a companion banner is each expected to individually increase ad recognition. Ad recognition is likely to be heightened even further when *both* a disclosure and a companion banner are present. Specifically, a disclosure is expected to increase ad recognition to a greater extent than what will occur due to a companion banner ad alone. A companion banner ad is expected to not only increase the salience of a brand among readers, but also clearly associate in the mind of the consumer the brand with the advertising. These effects facilitate consumer inference of an article-style native ad as advertising. Disclosure operates through a more explicit mechanism, clearly providing consumers with information that a native ad is advertising. Inclusion of a disclosure thus provides consumers with an additional signal that a native ad article is advertising, thus strengthening the effect of a companion banner ad. Stated formally, we expect:

H3. Presence of a disclosure increases the effect of a companion banner ad on ad recognition relative to when a non-companion banner ad is presented without a disclosure.

Effects of Ad Recognition

Consumers are generally recognized as responding more negatively to content they recognize as advertising. The theory underpinning this effect is persuasion knowledge, which states that

recognition of content as advertising triggers consumer defense mechanisms (Friestad and Wright 1994). When consumers come to realize content is advertising, they undergo a 'change of meaning' whereby they recalibrate their assumptions about the content's source and associated motivations. These updated assessments then filter through to the consumer's judgment of the advertising content itself, particularly any embedded claims or statements that could be interpreted as biased given the new information on the source. Since consumers are fearful of being deceived or taken advantage of, in most cases this results in consumers adopting more cautious, more critical, and less trusting attitudes toward known advertising (Friestad and Wright 1994).

While market research confirms that consumers are generally distrustful of advertising (Nielsen 2015), academic research also supports such effects. Ad recognition, typically induced through disclosure, is demonstrated to have an impact on multiple consumer response variables beyond ad recognition. Disclosure is shown to increase persuasion knowledge activation (Campbell and Kirmani 2000; Kirmani and Zhu 2007; Wei, Fischer, and Main 2008) as well as trigger resistance (Darke and Ritchie 2007; Priester and Petty 1995; Wei, Fischer, and Main 2008). Research in a product placement context finds that presence of a disclosure increases ad recognition (Boerman, van Reijmersdal, and Neijens 2014, 2015), sparks critical thinking (Boerman, van Reijmersdal, and Neijens 2014), and lowers brand attitudes (Boerman, van Reijmersdal, and Neijens 2012, 2015). Native advertising research demonstrates consistent effects, finding ad recognition significantly lowers perceived story quality, credibility of the organization or source (Wojdynski and Evans 2016), and reduces intention to share the ad with others (Boerman, Willemsen, and Van Der Aa 2017). Based on both persuasion knowledge theory and existing findings, we therefore expect disclosure, operating through ad recognition, to have a negative impact on brand attitude, organizational credibility, and sharing intention.

We also expect a similar pattern to be observed with attitude toward the publisher for two reasons. First, consumers may feel deceived or upset with a publisher once they realize an article-style native ad article is advertising rather than editorial content (Friestad and Wright 1994; FTC 1983, 2013a, 2013b, 2015a). Since article-style native advertisements look like non-advertising articles that appear on a publisher's website, consumers may correctly infer that a publisher was complicit in the creation of the native ad. Consumers may therefore place some blame for their deception on the publisher, lowering their attitude toward them (Darke and Ritchie 2007; Kirmani and Zhu 2007; Wei, Fischer, and Main 2008). Second, even if consumers are not deceived that an article-style native ad is advertising, consumers may assume the publisher was involved in creating the ad and view the publisher as part of 'the advertiser.' The negative reactions consumers have to advertising may also affect the publisher through defensive stereotyping (Darke and Ritchie 2007). For these two reasons, when an article is recognized as advertising, attitude toward the publisher is likely to also be more negative. To summarize, we posit that:

H4. Disclosure presence results in lower a) brand attitude, b) attitude toward the publisher, c) organizational credibility, and d) sharing intention, and this effect is mediated by advertising recognition.

We expect a companion banner ad, through ad recognition, to exert similar negative effects. We infer this based on the same logic underpinning H2 and H4. Specifically, similar to disclosure, we expect a companion banner to trigger ad recognition and that such recognition will induce negative consumer responses (Friestad and Wright 1994). Stated formally:

H5. Presence of a companion banner results in lower a) brand attitude, b) attitude toward the publisher, c) organizational credibility, and d) sharing intention, and this effect is mediated by advertising recognition.

Sponsorship Transparency Mitigates the Effects of Ad Recognition

Sponsorship transparency is defined as the extent to which a sponsored communication makes noticeable to a consumer its paid nature and the identity of the sponsor (Wojdynski, Evans, and Hoy 2017). Sponsorship transparency reflects consumers' perceptions of sponsorship elements present in an advertisement *after* it has been recognized as an ad. These sponsorship elements include the clarity of an ad's sponsor, the degree to which a brand is present, the presence and/or way in which the communication is disclosed as an advertisement, and the degree to which consumers feel as though the communication attempts to deceive them about the fact that it is advertising. Consumer perceptions concerning these elements of an advertisement serve an evaluative rather than diagnostic function. In this regard, sponsorship transparency is not intended to elucidate how consumers identify and recognize advertising content, but is instead conceptualized as way to measure consumers' overall impressions of how clearly or transparently a given advertising message conveys its advertising nature (Wojdynski, Evans, and Hoy 2017).

For consumers who recognize a native advertisement as advertising, the degree to which sponsorship transparency is perceived may serve to mitigate the negative responses associated with knowing that a message has persuasive intent. We typically expect a consumer's recognition of advertising to precede the formation of any overall impressions of how well an advertising message features or conveys its sponsored nature (Wojdynski, Evans, and Hoy 2017). This temporal order is likely to be especially true in the context of more covert and potentially deceptive formats like article-style native advertising. We also expect that consumers who may not initially recognize an article-style native ad as an advertisement may later come to recognize the content as advertising after a sufficient portion of the ad is read or processed. Under these circumstances consumers who are initially mislead by an advertisement's format or nature but later recognize the content as advertising may react with increased feelings of deception (Darke and Ritchie 2007) or mistrust toward the sponsor (Germelmann and Held 2014). This delayed recognition is likely to result in negative consequences for attitudes (Boerman, van Reijmersdal, and Neijens 2012, 2015),

credibility assessments (Wojdynski and Evans 2016), and behavioral intentions (Boerman, Willemsen, and Van Der Aa 2017).

Certain advertising elements, such as a disclosure or a companion banner ad, may not only make an article-style native advertisement easier to recognize as an ad but also cause sponsorship elements to also be more perceivable or noticeable. In short, a disclosure or companion banner ad serves two functions: it acts as a communication element that aids in advertising recognition and can increase perceptions of sponsorship transparency. While advertising recognition likely mediates the negative indirect effect of either a disclosure or companion banner ad on evaluations and intentions, higher perceptions of sponsorship transparency may serve to mitigate the otherwise negative effect of ad recognition. Ads that are perceived as more forthcoming and upfront in disclosing their true nature and source are likely to be perceived more positively by consumers, even if such features also make it more likely the ads are recognized as advertising. Stated formally we predict the following:

H6. The negative indirect effect of disclosure presence via advertising recognition on a) brand attitude, b) attitude toward the publisher, c) organizational credibility, and d) sharing intention will be mitigated by increases in sponsorship transparency.

H7. The negative indirect effect of a companion banner ad via advertising recognition on a) brand attitude, b) attitude toward the publisher, c) organizational credibility, and d) sharing intention will be mitigated by increases in sponsorship transparency.

Study 1

Participants and Stimuli

Study 1 was designed to test the effects of disclosure presence and a companion banner ad on ad recognition, attitude toward the brand, attitude toward the publisher, sharing intentions, and organizational credibility. Participants recruited from Amazon mTurk (N = 196, M_{age} = 35, SD = 11, 49% female) were randomly assigned to view one of four versions of a native advertising article mockup. The four mockup versions reflected a 2 (disclosure: present or absent) × 2 (banner: companion or non-companion) factorial between-subjects experimental design. Two different pretests were conducted to develop the mockup and a third pretest was conducted to develop the two banner ad manipulations.

The native advertising article mockup featured USA Today as a source. A pretest (N = 50, M_{age} = 34, SD = 9, 46% female) demonstrated that USA Today was perceived as both moderately familiar (M = 3.54, SD = 1.03), "How familiar are you with the above company?" assessed using a five-point scale from "extremely familiar" to "not familiar at all" and credible (M = 3.90, SD = .77, Cronbach's alpha = .89), measured using a five-item composite of "This company probably cares about readers like me," "It's reporters seem well trained," "This company seems in touch with the average person," "The company probably thinks it's important to publish quality reporting," and "This company probably values its link with its readers." The items were assessed using a five-point scale from "strongly disagree" to "strongly agree."

The focal native advertisement in our mockup was a real native advertisement for Amazon's Kindle titled "8 Best Trips Inspired by Books." The article is 669 words and lists eight different locations in the world a person might visit based on novels. The article mentions Kindle four times. We pretested the article (N = 52, M_{age} = 34, SD = 10, 48% female) using seven-point semantic differential scales, finding the article to be perceived as reasonably professional (M = 5.29, SD = 1.35), well written (M = 5.48, SD = 1.16), appealing (M = 5.37, SD = 1.43), well flowing (M = 5.48, SD = 1.38), captivating (M = 4.90, SD = 1.55), credible (M = 5.50, SD = 1.28), and persuasive (M = 5.13, SD = 1.39). Importantly the native ad article was moderately perceived as being an advertisement (M = 4.42, SD = 1.87), as trying to sell something (M = 4.29, SD = 1.90), and unbiased (M = 4.10, SD = 1.88).

We developed two banner ad manipulations, one featuring Amazon Kindle (companion) and one featuring Garden Guru (non-companion), a fictitious brand inconsistent with the native ad article. We pretested (N = 80, M_{age} = 33, SD = 10, 50% female) the two banner ads finding them to be equally perceived as advertising ("The image I saw was an advertisement," assessed using a seven-point scale ranging from "strongly disagree" to "strongly agree"). Using seven-point semantic differential scales, we also found the banner ads to be equally eye catching (M_{kindle} = 6.05, SD = 1.13, $M_{gardenguru}$ = 6.14, SD = 1.15, $F(1, 79) = 0.11$, p = .74), high quality (M_{kindle} = 4.81, SD = 1.43, $M_{gardenguru}$ = 5.19, SD = 1.48, $F(1, 79) = 1.31$, p = .26), persuasive (M_{kindle} = 3.81, SD = 1.84, $M_{gardenguru}$ = 4.14, SD = 1.61, $F(1, 79) = 0.73$, p = .40), and trying to sell something (M_{kindle} = 6.14, SD = 1.11, $M_{gardenguru}$ = 5.67, SD = 1.30, $F(1, 79) = 2.84$, p = .10).

Disclosure was manipulated through the inclusion of the phrase "Sponsored Content by" presented above an "Amazon Kindle" logo. The text was italicized and the logo was in color. The disclosure was centered and appeared halfway through the article. Disclosure phrasing and position were chosen in order to maximize ad recognition and were based on existing research (Wojdynski and Evans 2016). Please see the Appendix for samples of our stimuli.

Procedure and Measures

Participants were randomly assigned to one of the four study conditions, shown a mockup of the native advertising article to which they were assigned, and provided instructions to: "Please read the content below as you would normally read something online. We will ask you questions about it on the next page. When you are finished reading the content please click the red arrow to continue." It should be noted that participants were not given any instruction to look at the banner ad or disclosure. Given that mTurk workers are generally motivated to complete a study as efficiently as possible, it is likely that our participants read the article in the mockup in much the same way as a consumer might: with minimal attention to anything aside from the article.

Immediately after viewing the mockup, participants indicated ad recognition (Boerman, Willemsen, and Van Der Aa 2017) using a single item measured along a seven-point scale ("The article I read was an advertisement," 1 = strongly disagree to 7 = strongly agree, M = 3.99, SD = 1.79). Attitude toward the brand (Kindle) (M = 5.69, SD = 1.29, Cronbach's alpha = .97) and attitude toward the publisher (USA Today) (M = 4.71, SD = 1.48, Cronbach's alpha = .97) were both measured using three commonly used (Spears and Singh 2004) seven-point semantic differential scale items (bad/good, unfavorable/favorable, negative/positive). Sharing intention (adapted from Boerman, Willemsen, and Van Der Aa 2017) was assessed using a single item measured along a seven-point scale ("How likely would you be to share this article with others," 1 = extremely unlikely to 7 = extremely likely, M = 3.45, SD = 2.05). Organizational credibility (Meyer, Marchionni, and Thorson 2010) was measured using five items (see Appendix for items) measured using a five-point scale ("strongly disagree" to "strongly agree") that were averaged (M = 3.38, SD = .90, Cronbach's alpha = .91). Sponsorship transparency (Wojdynski, Evans, and Hoy 2017, see Appendix for items) was measured using 12 seven-point Likert items ("strongly disagree" to "strongly agree") that were averaged (M = 3.91, SD = .88, Cronbach's alpha = .76). Participants then answered demographic questions.

Results

Effects of Disclosure Presence and Companion Banner Advertising on Ad Recognition

A two-way ANOVA revealed a significant interaction occurred between disclosure and companion banner ad presence on recognition of the article as advertising (F(1, 192) = 7.26, p = .01). Results were such that inclusion of either a disclosure or a companion banner advertisement (i.e. advertised the brand mentioned in the native ad article) increased ad recognition. There was no additional increase in ad recognition when both disclosure and a companion banner were present. Ad recognition was lower only when a disclosure was absent and the banner ad was non-companion (i.e. the banner ad advertised a different brand than the one mentioned in the native ad article). As shown in Fig. 2, when a disclosure was present, a companion banner had no significant effect on ad recognition ($M_{companion}$ = 4.25, SD = 1.70, $M_{non\text{-}companion}$ = 4.21, SD = 1.88, F(1, 192) = 0.01, p = .92). However, when a disclosure was absent, a companion banner led to significantly higher ad recognition ($M_{companion}$ = 4.54, SD = 1.56, $M_{non\text{-}companion}$ = 3.17, SD = 1.75, F(1, 192) = 16.64, p < .001). Analyzed differently, when a companion banner was present the inclusion of a disclosure had no significant impact on ad recognition ($M_{disclosure}$ = 4.25, SD = 1.70, $M_{nodisclosure}$ = 4.54, SD = 1.56, F(1, 192) = 0.69, p = .41). When a non-companion banner was present, a disclosure significantly increased ad recognition ($M_{disclosure}$ = 4.21, SD = 1.88, $M_{nodisclosure}$ = 3.17, SD = 1.75, F(1, 192) = 8.93, p < .001). These findings support H1 and H2 but do not support H3. While not hypothesized, it is notable that there was no significant difference between ad recognition achieved through a companion banner, when a disclosure was absent, versus that achieved through a disclosure, when a non-companion banner was present ($M_{companion,nodisclosure}$ = 4.54, SD = 1.56, $M_{non\text{-}companion,disclosure}$ = 4.21, SD = 1.88, F(1, 89) = 0.82, p = .37).

Mediation Analysis

To test the predicted mediation effects hypothesized in H4 through H7, we used model 6 of Hayes' (2012) PROCESS macro in SPSS. All analyses used 5,000 bootstrap samples to estimate the bias corrected bootstrap confidence intervals. As indicated in the reported ANOVA results, the presence (versus absence) of a disclosure positively impacted advertising recognition only when a non-companion banner ad was present.

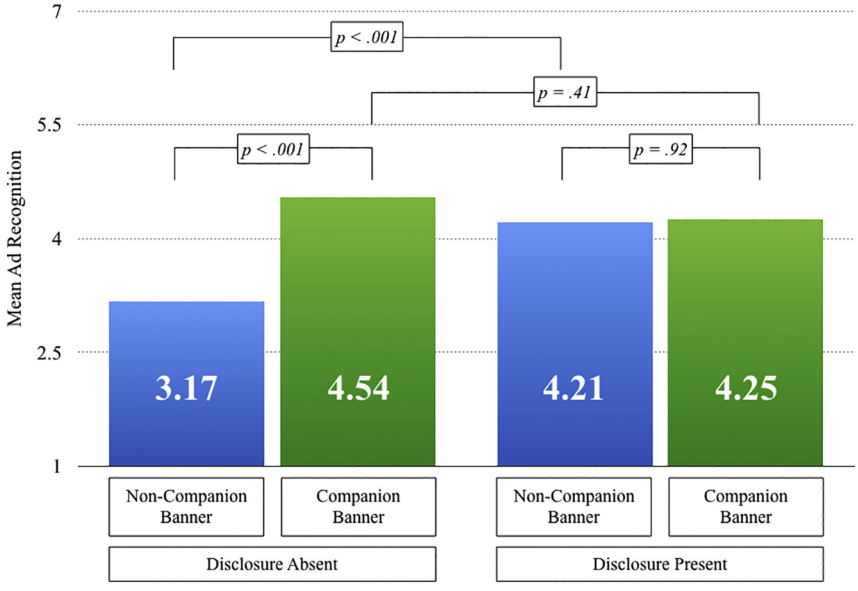


Fig. 2. Mean ad recognition by condition (Study 1).

Likewise, a companion (versus non-companion banner ad) banner ad positively impacted advertising recognition only when a disclosure was absent. Therefore, separate PROCESS models were used to investigate the indirect effects of disclosure presence (under non-companion banner ad conditions) and a companion banner (under conditions where a disclosure was absent) on our dependent measures.

Indirect Effects of Disclosure Presence via Ad Recognition

H4 predicted that the effect of disclosure presence on a) brand attitude, b) attitude toward the publisher, c) organizational credibility, and d) sharing intention would be mediated by advertising recognition. As shown in Fig. 3 and Table 1, results indicated that disclosure presence had no significant direct effect on brand attitude (b = −.03, boot SE = .30, p = .92), attitude toward the publisher (b = .04, boot SE = .32, p = .89), organizational credibility (b = .09, boot SE = .19, p = .64), or sharing intention (b = −.62, boot SE = .42, p = .17). While no direct effects were found, Hayes (2009) suggests that a direct effect of the independent variable on the dependent variable is not a necessary prerequisite for the establishment of a mediation effect. Significant negative indirect effects of disclosure presence via advertising recognition (see Table 1) were indicated for attitude toward the publisher (b = −.25, boot SE = .14, 95% BCBCI [−.0544, −.6230]), organizational credibility (b = −.13, boot SE = .07, 95% BCBCI [−.0294, −.3303]), and sharing intention (b = −.39, boot SE = .19, 95% BCBCI [−.0979, −.8589]), but not brand attitude (b = .04, boot SE = .09, 95% BCBCI [−.1348, .2276]). Therefore, H4b, c, and d are supported while H4a is not supported.

Indirect Effects of Companion Banner Ad via Ad Recognition

Mirroring H4, H5 predicted that the effect of a companion banner ad on a) brand attitude, b) attitude toward the publisher, c) organizational credibility, and d) sharing intention would be mediated by advertising recognition. Results as shown in Fig. 4 indicated that a companion banner had no significant direct effect on brand attitude (b = .52, boot SE = .29, p = .07), attitude toward the publisher (b = .37, boot SE = .29, p = .21), organizational credibility (b = .15, boot SE = .19, p = .42), or sharing intention (b = .47, boot SE = .41, p = .26). Significant negative indirect effects of a companion banner via advertising recognition (see Table 1) were indicated for attitude toward the publisher (b = −.24, boot SE = .15, 95% BCBCI [−.0108, −.5931]), and sharing intention (b = −.55, boot SE = .22, 95% BCBCI [−.1972, −1.050]) but not brand attitude (b = .01, boot SE = .12, 95% BCBCI [−.2399, .2477]) or organizational credibility (b = −.10, boot SE = .08, 95% BCBCI [−2,992, .0440]). Therefore, H5b and H5d are supported while H5a and H5c are not supported.

Indirect Effects of Disclosure Presence via Ad Recognition and Sponsorship Transparency

H6 predicted that sponsorship transparency would mitigate the negative indirect effect of disclosure presence via advertising recognition such that a) brand attitude, b) attitude toward the publisher, c) organizational credibility, and d) sharing intention would be less negative. Results indicate a significant positive indirect effect of disclosure presence via advertising recognition and sponsorship transparency on brand attitude (b = .05, boot SE = .04, 95% BCBCI [.1741, .0019]), attitude toward the publisher (b = .07, boot SE = .05, 95% BCBCI [.2296, .0142]), organizational credibility (b = .05, boot SE = .03, 95% BCBCI [.1608, .0130]), and sharing intention, (b = .10, boot SE = .07, 95% BCBCI [.3199, .0161]). While these findings support H6b, H6c, and H6d, H6a is only partially supported due to the absence of a significant negative indirect effect of disclosure presence on brand attitude via advertising recognition (see Fig. 3).

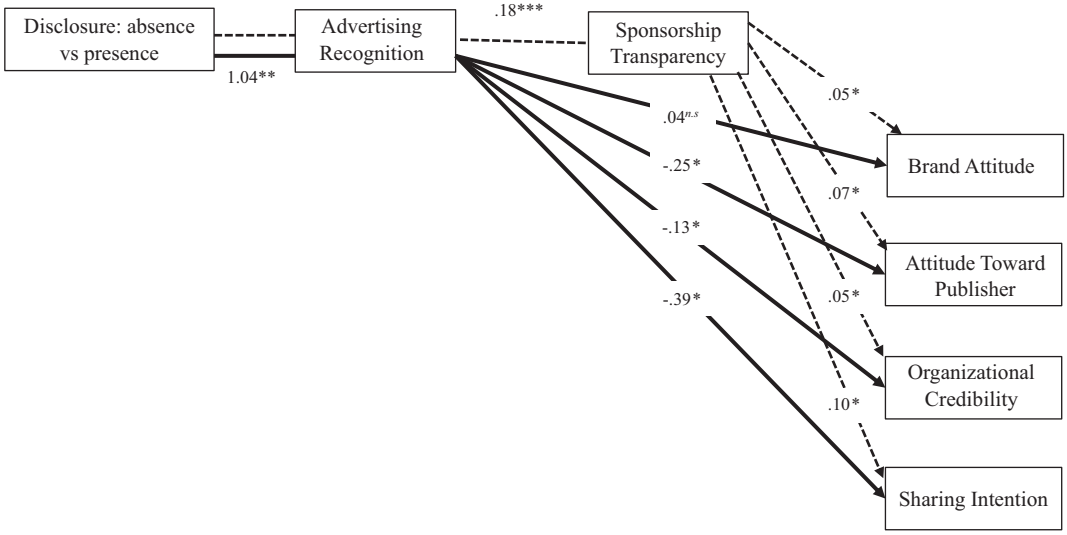


Fig. 3. Study 1: Indirect effects of disclosure presence on dependent measures (N = 100; under non-companion banner advertising conditions). Solid lines represent the indirect effect of disclosure presence through advertising recognition. Dashed lines represent the indirect effect of disclosure presence through advertising recognition and sponsorship transparency. *p < .05; **p < .01, ***p < .001.

Table 1
Study 1: Direct and indirect effects of disclosure and a companion banner on dependent measures.

Disclosure: absent vs. present (Non-companion banner conditions) $N = 100$				Non-companion vs. companion banner (Disclosure absent conditions) $N = 106$			
	b (SE)	Upper 95% BCBCI	Lower 95% BCBCI		*b* (SE)	Upper 95% BCBCI	Lower 95% BCBCI
Direct effects				Direct effects			
Disc → Ad Rec	1.04** (.37)	1.768	.3161	Companion banner → Ad Rec	1.37*** (.32)	2.013	.7251
Disc → ST	.53** (.18)	.8865	.1779	Companion banner → ST	.18 (.16)	.5108	−.1356
Disc → BrandAtt	−.03 (.30)	.5687	−.6284	Companion banner → BrandAtt	.52 (.29)	1.098	−.0512
Disc → PubAtt	.04 (.32)	.6806	−.5948	Companion banner → PubAtt	.37 (.29)	.9672	−.2207
Disc → OrgCred	.09 (.19)	.4599	−.2842	Companion banner → OrgCred	.15 (.19)	.5421	−.2275
Disc → Sharing Int	−.62 (.42)	.2644	−1.489	Companion banner → Sharing Int	.47 (.41)	1.300	−.3523
Ad Rec → ST	.18*** (.05)	.2723	.0842	Ad Rec → ST	.09* (.04)	.1884	.0080
Ad Rec → BrandAtt	.04 (.08)	.2050	−.1205	Ad Rec → BrandAtt	.01 (.08)	.1737	−.1522
Ad Rec → PubAtt	−.24** (.09)	−.0684	−.4152	Ad Rec → PubAtt	−.17* (.08)	−.0062	−.3429
Ad Rec → OrgCred	−.13* (.05)	−.0265	−.2288	Ad Rec → OrgCred	−.08 (.05)	0326	−.1855.
Ad Rec → Sharing Int	−.37** (.12)	−.1330	−.6098	Ad Rec → Sharing Int	−.40*** (.12)	−.1677	−.6360
ST → BrandAtt	.26 (.16)	.5833	−.0684	ST → BrandAtt	.26 (.17)	.6095	−.0813
ST → PubAtt	.40* (.17)	.7519	.0576	ST → PubAtt	.47* (.18)	.8278	.1142
ST → OrgCred	.29** (.10)	.4949	.0897	ST → OrgCred	.28* (.12)	.5109	.0486
ST → Sharing Int	.53* (.24)	1.010	.0559	ST → Sharing Int	.80** (.25)	1.295	.3030
Indirect effects				Indirect effects			
Disc → Ad Rec → BrandAtt	.04 (.09)	.2276	−.1348	Companion banner → Ad Rec → BrandAtt	.01 (.12)	.2477	−.2399
Disc → Ad Rec → PubAtt	−.25* (.14)	−.0544	−.6230	Companion banner → Ad Rec → PubAtt	−.24* (.15)	−.0108	−.5931
Disc → Ad Rec → OrgCred	−.13* (.07)	−.0294	−.3303	Companion banner → Ad Rec → OrgCred	−.10 (.08)	.0440	−.2992
Disc → Ad Rec → Sharing Int	−.39* (.19)	−.0979	−.8589	Companion banner → Ad Rec → Sharing Int	−.55* (.22)	−.1972	−1.050
Disc → Ad Rec → ST → BrandAtt	.05* (.04)	.1741	.0019	Companion banner → Ad Rec → ST → BrandAtt	.03 (.03)	.1299	−.0107
Disc → Ad Rec → ST → PubAtt	.07* (.05)	.2296	.0142	Companion banner → Ad Rec → ST → PubAtt	.06* (.05)	.2054	.0046
Disc → Ad Rec → ST → OrgCred	.05* (.03)	.1608	.0130	Companion banner → Ad Rec → ST → OrgCred	.04* (.03)	.1353	.0012
Disc → Ad Rec → ST → Sharing Int	.10* (.07)	.3199	.0161	Companion banner → Ad Rec → ST → Sharing Int	.11* (.08)	.3620	.0073

Note. Unstandardized *b* coefficients (with boot SE between parentheses). BCBCI = bias corrected 5,000 bootstrap confidence interval.
*** $p < .001$.
** $p < .01$.
* $p < .05$.

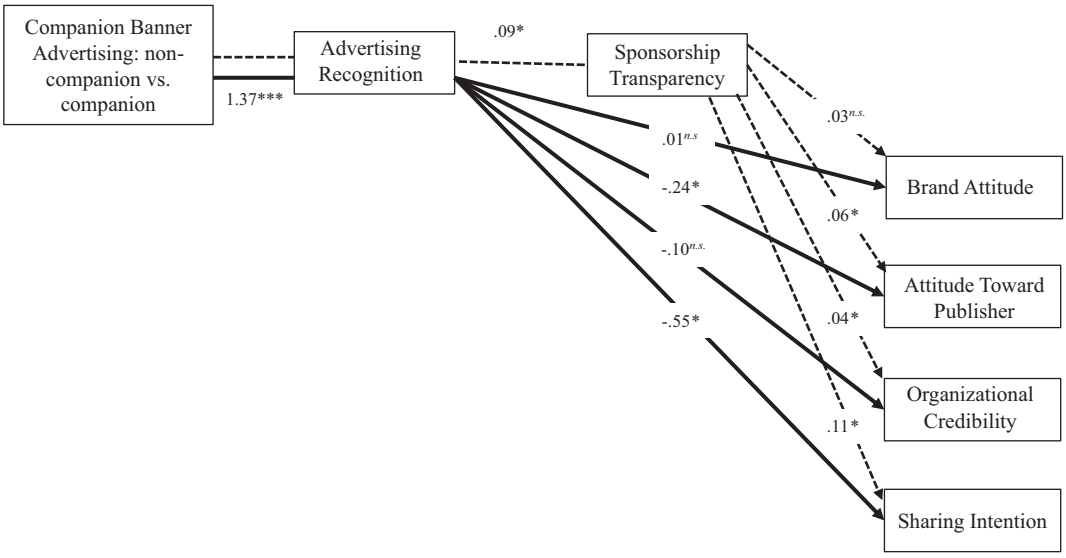


Fig. 4. Study 1: Indirect effects of companion banner advertising on dependent measures (N = 106; under conditions where a disclosure was absent). Solid lines represent the indirect effect of a companion banner ad through advertising recognition. Dashed lines represent the indirect effect of a companion banner ad through advertising recognition and sponsorship transparency. *p < .05; **p < .01, ***p < .001.

Indirect Effects of a Companion Banner Ad via Ad Recognition and Sponsorship Transparency

H7 predicted that sponsorship transparency would mitigate the negative indirect effect of a companion banner ad via advertising recognition such that a) brand attitude, b) attitude toward the publisher, c) organizational credibility, and d) sharing intention would be less negative. Results indicate a significant positive indirect effect of a companion banner ad via advertising recognition and sponsorship transparency on attitude toward the publisher (b = .06, boot SE = .05, 95% BCBCI [.2054, .0046]), sharing intention (b = .11, boot SE = .08, 95% BCBCI [.3620, .0073]), and organizational credibility, (b = .04, boot SE = .03, 95% BCBCI [.1353, .0012]), but not brand attitude (b = .03, boot SE = .03, 95% BCBCI [−.0107, .1299]). While these findings support H7b and H7d, H7c is only partially supported due to the absence of a significant negative indirect effect of a companion banner ad on organizational credibility via advertising recognition. H7a is not supported (see Fig. 4).

Discussion

Results from Study 1 provide evidence that presence of either a disclosure or a companion banner ad significantly increases ad recognition of article-style native advertising. Notably, these effects are observed only when another tool for increasing ad recognition is absent; for instance, there is no marginal difference from adding a companion banner when a disclosure is already present. Likewise, there is no marginal difference from adding a disclosure when a companion banner is already present.

Results of our serial mediation demonstrate that both disclosure and a companion banner operate through the same underlying mechanism, triggering ad recognition and activating related persuasion knowledge-driven effects. Of more interest is that in both cases sponsorship transparency mitigates and in some cases partially reverses the negative indirect effects of disclosure presence and companion banner advertising that operate through ad recognition. This finding is notable since it suggests that ad recognition may have more nuance than is typically conceptualized.

A possible criticism of Study 1 is that differences in familiarity of the two brands in the banner ads, Amazon Kindle and Garden Guru, may have been a driver of results rather than the extent to which a banner ad was companion to the native ad. We address this possible concern in Study 2 by directly manipulating the familiarity of the brand featured in the banner ad and in the article. This also tests the generalizability of the increase in ad recognition due to a companion banner ad that was observed in Study 1 (see Fig. 5).

Earlier, in developing H2, we described two explanations for why a companion banner would increase ad recognition. First, a companion banner ad is expected to increase salience of the advertised brand, making it more likely consumers recognize the same brand in the native advertising article. Second, since banner advertising is more readily understood as advertising than a native ad article, a companion banner links the brand with the concept of advertising in consumers' minds. Given these underlying effects, we expect that presence of a companion banner will have a more positive effect on ad recognition when the advertised brand is more familiar. Consumers are not only more likely to recognize familiar brands (Jeziorski and Moorthy 2017; Keller 1993; Kent and Allen 1994), but research also finds that brand placements (product placements) by familiar brands are more likely to be recalled (Brennan and Babin 2004). This suggests that ads for more familiar brands will not only simply get noticed more often, but also trigger richer and more developed associative nodes in the memory network, including concepts related to advertising efforts (Anderson 1983; Rodgers 2003). Comparatively, the presence of an unfamiliar brand is likely to garner less attention, be less successful in linking the brand with the concept of advertising, and be less likely to trigger

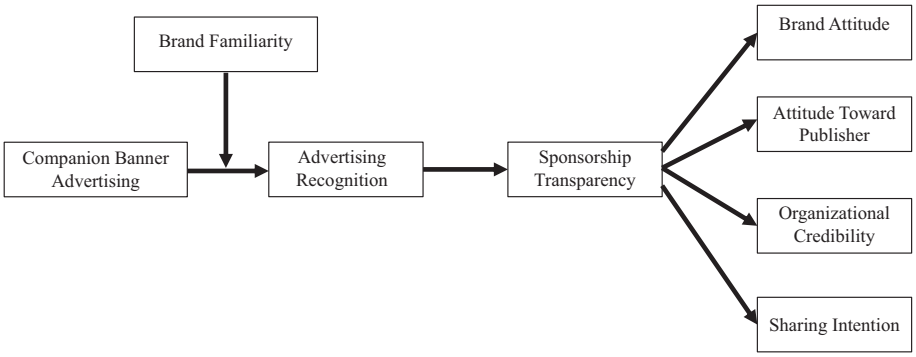


Fig. 5. Study 2 model.

recognition of the unfamiliar brand within the native ad article. As such, we hypothesize:

H8. Presence of a companion banner will increase ad recognition when the banner ad features a familiar brand compared to an unfamiliar brand.

Additionally, carrying this same logic forward, we expect that the negative effects of ad recognition described earlier in (Study 1) H5 will be greater when the companion banner is from a familiar brand. Formally:

H9. The negative indirect effect of a companion banner ad via advertising recognition on a) brand attitude, b) attitude toward the publisher, c) organizational credibility, and d) sharing intention will be greater when the banner features a familiar versus unfamiliar brand.

Likewise, given that greater ad recognition is expected to occur when the companion banner is from a familiar brand, H6 is revised as follows:

H10. Higher levels of sponsorship transparency will mitigate the conditional indirect effect of a companion banner and brand familiarity via advertising recognition such that a) brand attitude, b) attitude toward the publisher, c) organizational credibility, and d) sharing intention are less negative.

Study 2

Participants and Stimuli

In Study 2 we focus on further probing the effect of a companion banner demonstrated in Study 1. We do so since use of a companion banner represents an innovative means of achieving ad recognition and further information on potential confounds and boundary conditions is likely needed. Specifically, Study 2 focuses on examining the effect of brand familiarity on the effect of a companion banner. Since the effects of disclosure have been studied more extensively and confirmed by Study 1 results, we do not explore the effect of disclosure in Study 2.

Participants recruited from Amazon mTurk (N = 197, M_{age} = 36, SD = 11, 56% female) took part in a 2 (familiarity: familiar or unfamiliar) × 2 (banner: companion or non-companion) factorial between-subjects experiment. Study 2 used the same news source (USA Today) and native advertising article ("8 Best Trips Inspired by Books" for Amazon's Kindle) as in Study 1. Four banner ads, a pair for familiar brands (Kindle and Starbucks) and a pair for unfamiliar brands (Glance eBook reader and Grizzly Coffee), were also developed (see Appendix for stimuli). Brand mentions in the native advertising article were manipulated to be for either Amazon's Kindle, used with banner ads for familiar brands, or for the Glance eBook reader, used with banner ads for unfamiliar brands. This yielded four different native advertising article mockup conditions: Kindle article mentions paired with a Kindle banner (familiar brand, companion banner), Kindle article mentions paired with a Starbucks banner (familiar brand, non-companion banner), Glance eBook reader article mentions paired with a Glance eBook reader banner (unfamiliar brand, companion banner), and Glance eBook reader article mentions paired with a Grizzly Coffee banner (unfamiliar brand, non-companion banner). Each participant was randomly assigned to view one of the four mockups.

A pretest (N = 163, M_{age} = 34, SD = 11, 55% female) of the four banner ads found a significant effect of familiarity ($F(3, 159)$ = 101.50, $p < .001$). Bonferroni adjusted post-hoc analyses found Kindle was rated as more familiar than Glance (M_{kindle} =6.22, SD = 1.08, M_{glance} = 2.41, SD = 1.92, $p < .001$) and also as more familiar than Grizzly (M_{kindle} = 6.22, SD = 1.08, $M_{grizzly}$ =1.80, SD = 1.72, $p < .001$). Starbucks was also viewed as more familiar than Glance ($M_{starbucks}$ = 6.32, SD = 1.13, M_{glance} =2.41, SD = 1.92, $p < .001$) and also more than Grizzly ($M_{starbucks}$ = 6.32, SD = 1.13, $M_{grizzly}$ = 1.80, SD = 1.72, $p < .001$). Importantly, each pair of banner ads did not differ in familiarity, with Kindle and Starbucks being equally familiar ($M_{starbucks}$ = 6.32, SD = 1.13, M_{kindle} = 6.22, SD = 1.08, p =1.00) and Glance and Grizzly also equally familiar (M_{glance} =2.41, SD = 1.92, $M_{grizzly}$ = 1.80, SD = 1.72, p = 1.00).

The pretest also found all four banner ad stimuli to be equally perceived as advertising ("The image I saw was an advertisement," assessed using a seven-point scale ranging from "strongly disagree" to "strongly agree," M_{kindle} = 6.68, SD = 0.58, $M_{starbucks}$ = 6.46, SD = 0.71, M_{glance} = 6.41, SD = 0.73, $M_{grizzly}$ = 6.17, SD = 1.18, $F(3, 159)$ = 4.95, p = .07). Using seven-point semantic differential scales, the banner ads were also

perceived as equally eye catching (M_{kindle} = 4.84, SD = 1.46, $M_{starbucks}$ = 5.00, SD = 1.48, M_{glance} = 5.14, SD = 1.29, $M_{grizzly}$ = 4.78, SD = 1.48, $F(3, 159) = 0.54$, $p = .66$), high quality (M_{kindle} = 5.22, SD = 1.36, $M_{starbucks}$ = 5.63, SD = 1.11, M_{glance} = 5.64, SD = 1.04, $M_{grizzly}$ = 5.41, SD = 1.12, $F(3, 159) = 1.20$, $p = .31$), persuasive (M_{kindle} = 4.70, SD = 1.22, $M_{starbucks}$ = 4.41, SD = 1.52, M_{glance} = 5.07, SD = 1.25, $M_{grizzly}$ = 4.51, SD = 1.25, $F(3, 159) = 2.06$, $p = .11$), and trying to sell something (M_{kindle} = 6.19, SD = 1.13, $M_{starbucks}$ =6.24, SD = 1.18, M_{glance} = 6.34, SD = 0.91, $M_{grizzly}$ = 6.10, SD = 1.09, $F(3, 159) = 0.38$, $p = .77$).

Procedure and Measures

The same procedures as Study 1 were used. Participants were randomly assigned to one of the four study conditions and shown a mockup of the native advertising article to which they were assigned. Participants then completed the same measures as Study 1. Variable means are as follows: ad recognition (M = 3.82, SD = 1.81), intention to share (M = 3.58, SD = 1.92), attitude toward the brand (M = 4.97, SD = 1.28, Cronbach's alpha = .96), attitude toward the publisher (M = 4.88, SD = 1.38, Cronbach's alpha = .97), organizational credibility (M = 3.49, SD = .856, Cronbach's alpha = .89), and sponsorship transparency (M = 3.81, SD = .83, Cronbach's alpha = .72).

Results

Effects of Brand Familiarity and Companion Banner Ad on Ad Recognition

Recall that the focus of Study 2 is on testing whether the effect of a companion banner ad established in Study 1 is limited to familiar brands. Specifically, H8 predicted that presence of a companion banner ad would increase ad recognition when the companion banner ad featured a familiar brand, but not when the companion banner ad featured an unfamiliar brand. A two-way ANOVA indicated no significant interaction between presence of a companion banner and brand familiarity on recognition of the article as advertising ($F(1, 193) = .76$, $p = .38$). Because no interaction was present, these findings do not support H8. However, the main effect of a companion banner ad was significant, with a companion banner inducing increased ad recognition ($M_{companion}$ = 4.16, SD = 1.80, $M_{non\text{-}companion}$ = 3.43, SD = 1.78, $F(1, 193) = 8.55$, $p < .001$) (see Fig. 6). This absence of an interaction effect, yet presence of a significant main effect of a companion banner ad, indicates that brand familiarity does not change the effect of including a companion banner ad. While not hypothesized, it is noted that recognition of the article as advertising was significantly higher for the unfamiliar brand ($M_{unfamiliar}$ = 4.11, SD = 1.86, $M_{familiar}$ = 3.52, SD = 1.74, $F(1, 193) = 5.86$, $p = .02$).

Mediation Analysis

Because brand familiarity had no impact on the effect of a companion banner ad on recognition of the article as advertising, subsequent tests of its effects using moderated mediation would have yielded insignificant results. In other words, brand familiarity did not represent a boundary condition in the current study. Therefore, tests of H9 and H10 were conducted by examining the indirect effect of a companion banner ad across combined brand familiarity conditions. We used model 6 of Hayes' (2012) PROCESS macro in SPSS. All analyses used 5,000 bootstrap samples to estimate the bias corrected bootstrap confidence intervals (see Table 2).

Indirect Effects of a Companion Banner Ad via Ad Recognition and Sponsorship Transparency

H9 predicted that the negative indirect effect of a companion banner ad via advertising recognition on a) brand attitude, b) attitude toward the publisher, c) organizational credibility, and d) sharing intention would be greater when the banner featured a familiar versus unfamiliar brand. Likewise, H10 predicted that

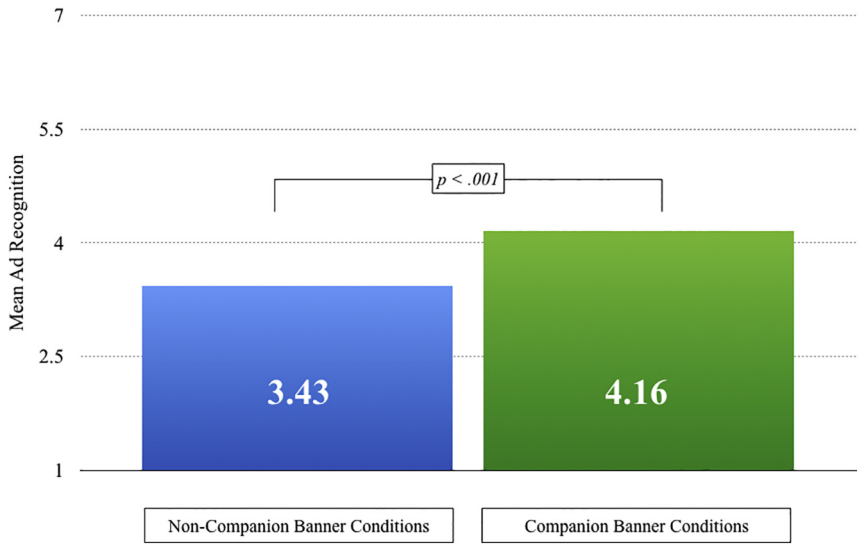


Fig. 6. Presence of a companion banner ad increases ad recognition (Study 2).

Table 2
Study 2: direct and indirect effects of a companion banner on dependent measures.

Companion banner advertising: non-companion vs. companion (Combined brand familiarity conditions) $N = 197$			
	b (SE)	Upper 95% BCBCI	Lower 95% BCBCI
Direct effects			
Companion banner → Ad Rec	.72 ** (.26)	1.231	.2230
Companion banner → ST	.06 (.11)	.2270	−.1504
Companion banner → BrandAtt	.26 (.18)	.6154	−.1042
Companion banner → PubAtt	−.13 (.19)	.2536	−.5239
Companion banner → OrgCred	−.07 (.11)	.1481	−.3032
Companion banner → Sharing Int	−.14 (.27)	.3876	−.6734
Ad Rec → ST	.14 *** (.03)	.1992	.0819
Ad Rec → BrandAtt	−.21 *** (.05)	−.1038	−.3122
Ad Rec → PubAtt	−.19 ** (.06)	−.0761	−.3012
Ad Rec → OrgCred	−.14 *** (.03)	−.0766	−.2073
Ad Rec → Sharing Int	−.34 *** (.08)	−.1880	−.4953
ST → BrandAtt	.24 * (.12)	.4873	.0108
ST → PubAtt	.29 * (.13)	.5517	.0370
ST → OrgCred	.18 * (.08)	.3288	.0300
ST → Sharing Int	.23 (.18)	.5847	−.1178
Indirect effects			
Companion banner → Ad Rec → BrandAtt	−.15 * (.07)	−.0488	−.3129
Companion banner → Ad Rec → PubAtt	−.14 * (.07)	−.0371	−.3112
Companion banner → Ad Rec → OrgCred	−.10 * (.04)	−.0337	−.2115
Companion banner → Ad Rec → Sharing Int	−.25 * (.10)	−.0815	−.4973
Companion banner → Ad Rec → ST → BrandAtt	.02 * (.02)	.0792	.0042
Companion banner → Ad Rec → ST → PubAtt	.03 * (.02)	.1002	.0029
Companion banner → Ad Rec → ST → OrgCred	.02 * (.01)	.0567	.0023
Companion banner → Ad Rec → ST → Sharing Int	.02 (.03)	.0995	−.0118

Note. Unstandardized *b* coefficients (with boot SE between parentheses). BCBCI = bias corrected 5,000 bootstrap confidence interval.
*** $p < .001$.
** $p < .01$.
* $p < .05$.

higher levels of sponsorship transparency would mitigate the conditional indirect effect of a companion banner ad and brand familiarity via advertising recognition such that a) brand attitude, b) attitude toward the publisher, c) organizational credibility, and d) sharing intention are less negative. Because brand familiarity did not interact with presence of a companion banner ad, tests of the indirect effect of a companion banner ad via ad recognition and sponsorship transparency on our dependent measures were conducted by combining the familiarity conditions. Because brand familiarity was hypothesized to conditionally affect the impact of a companion banner ad on advertising recognition, sponsorship transparency, and subsequent attitudes and behavioral intention, results offer no support for H9 or H10. However, despite this we still investigate the effect of a companion banner ad irrespective of brand familiarity to demonstrate that the same underlying mechanism occurs as in Study 1.

Findings indicated no significant direct effect of a companion banner ad on brand attitude ($b = .26$, boot SE = .18, $p = .16$), attitude toward the publisher ($b = -.13$, boot SE = .19, $p = .49$), organizational credibility ($b = -.07$, boot SE = .11, $p = .49$), or sharing intention ($b = -.14$, boot SE = .27, $p = .59$). However, there was a significant negative indirect effect of a companion banner ad via advertising recognition on brand attitude ($b = -.15$, boot SE = .07, 95% BCBCI [−.0488, −.3129]), attitude toward the publisher ($b = -.14$, boot SE = .07, 95% BCBCI [−.0371, −.3112],), organizational credibility ($b = -.10$, boot SE = .04, 95% BCBCI [−.0337, −.2115]), and sharing intention ($b = -.25$, boot SE = .10, 95% BCBCI [−.0815, −.4973]). For H10, results indicated a significant positive indirect effect of a companion banner ad via advertising recognition and sponsorship transparency on brand attitude ($b = .02$, boot SE = .02, 95% BCBCI [.0792, .0042]), attitude toward the publisher ($b = .03$, boot SE = .02, 95% BCBCI [.1002, .0029]), and organizational credibility, ($b = .02$, boot SE = .01, 95% BCBCI [.0567, .0023]), but not sharing intention ($b = .02$, boot SE = .03, 95% BCBCI [−.0118, .0995]) (see Fig. 7).

General Discussion

This paper demonstrates a novel mechanism of triggering recognition of native advertising. Evidence from two studies indicates that the presence of a companion (versus non-companion) banner advertisement produces advertising recognition levels comparable to that of a traditional disclosure (c.f. Wojdynski and Evans 2016). Regardless of how ad recognition is achieved, our results confirm that consumers generally respond more negatively to native ads that they recognize as advertising. However, this effect is mitigated when consumers perceive that a native advertisement is clearly identified as advertising (c.f. Wojdynski, Evans, and Hoy 2017). Evidence from both Study 1 and Study 2 supports this, finding that the negative indirect effect of a companion banner ad on consumer response to and intentions

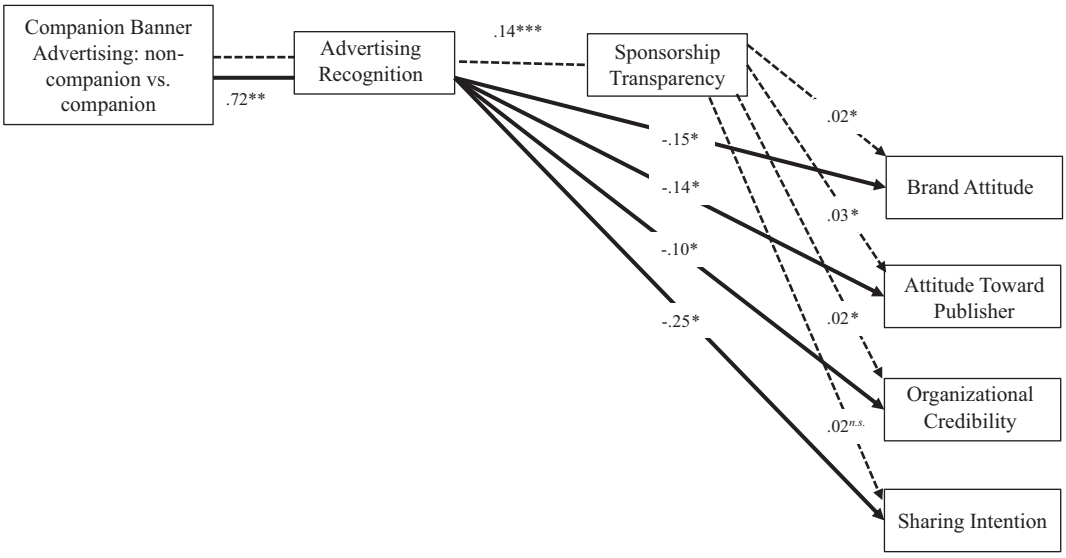


Fig. 7. Study 2: Indirect effects of companion banner advertising on dependent measures (N = 197; across brand familiarity conditions). Solid lines represent the indirect effect of a companion banner ad through advertising recognition. Dashed lines represent the indirect effect of a companion banner ad through advertising recognition and sponsorship transparency. *p < .05; **p < .01, ***p < .001.

toward article-style native advertising can be made less negative. In fact, in some cases sponsorship transparency can result in consumer response and intentions even becoming positive. This occurs when consumers both recognize native advertising content as advertising *and* feel as though essential sponsorship elements are well presented and easily perceived. This effect occurs for both familiar and unfamiliar brands.

Theoretically, our results make several important contributions. First, our study develops understanding of consumer response to article-style native advertising. Specifically, our findings demonstrate that a companion banner ad causes advertising recognition to occur in a manner similar to what occurs from use of a traditional text disclosure. This finding expands growing understanding of the effects of disclosures on article-style native advertising (Wojdynski and Evans 2016). Additionally, our findings reinforce the applicability of existing research on the effect of ad recognition (Campbell and Kirmani 2000; Campbell, Mohr, and Verlegh 2013; Darke and Ritchie 2007; Evans et al. 2017; Friestad and Wright 1994; Kirmani and Zhu 2007; Priester and Petty 1995; Wei, Fischer, and Main 2008) to a native advertising context. Such extrapolation is valuable given that industry suggests that the subtle and relatively non-persuasive nature of native advertising might exempt native ads from traditional disclosure requirements (Levien 2014; Maheshwari 2016). At a broader level, the similarity observed between the effects of a companion banner ad and a text disclosure suggests that other means of achieving disclosure likely exist.

Our results also develop understanding of the role that sponsorship transparency plays in ameliorating the otherwise negative effects that typically stem from ad recognition. These findings are particularly interesting since they provide the first empirical results demonstrating the beneficial effects sponsorship transparency has on consumer response. More importantly, our findings develop understanding of the persuasion knowledge construct (Friestad and Wright 1994), specifically suggesting that not all ad recognition can necessarily be considered equivalent. Our findings indicate that consumers are more accepting of transparently signposted native advertising. This suggests that in some cases advertisers may actually find it beneficial to make consumer perceptions of sponsorship transparency, or the ease through which a consumer is able to recognize an ad's paid nature, stronger. This notion directly extends Wei, Fischer, and Main's (2008) finding that disclosure of covert advertising by a highly familiar brand can actually result in positive effects. The researchers explain this finding based on the strength of consumers' existing experiences with a familiar brand, which are thought to both inoculate and also reduce active judgments. Our findings show that a similar effect can occur through sponsorship transparency, a more universal mechanism, and for both familiar and unfamiliar brands.

For practitioners, our results suggest an innovative means of ensuring adequate disclosure of native advertising content. Inclusion of a companion banner ad may not only increase publisher revenues through banner ad sales, but could also boost advertising outcomes such as recall and recognition (Danaher and Mullarkey 2003). This would likely be due to the synergistic effects on memory and cognitive processing brought about by the presence of both a native ad and banner ad. It could also arise from the fact that banner ads are a relatively more overt form of advertising that may simply be noticed more often. Since banner ads typically are clickable through to an advertiser's website, inclusion of a companion banner ad may also increase sales or leads, providing further benefit to advertisers.

While the cost of an additional banner may in some cases be prohibitive, the tradeoff between the requirement to include a disclosure in native content and the ability of brands or publications to exercise creative freedom may justify such cost. Disclosures overtly signal the presence of advertising and often trigger resistance in consumers (Darke and Ritchie 2007; Priester and Petty 1995; Wei, Fischer, and Main 2008). This

may be due to the negative associations attached to disclosures, which are typically only employed when an advertisement is at risk of being deceptive. Space devoted to a disclosure is also 'dead' in that it does nothing to reinforce an advertiser's message. In contrast, while banner ads may also carry some negative associations with consumers, they are unlikely to be linked with deception. More importantly, banner ads provide an advertiser with useful visual space to either reinforce or extend a native ad's message. This could include additional product or brand-related imagery, information on sales or other offers, and a link to the advertiser's website. Since article-style native ads are often quite subtle, a companion banner provides an advertiser with dedicated space for more overt persuasive messaging. Considering our findings, and the effectiveness of a banner ad at increasing ad recognition, managers may do well to consider a banner ad as an alternative to more formal disclosure. While it needs to be tested, the benefits of a companion banner may exceed its cost. In some cases, especially owing to the high cost of many article-style native ads, we can also imagine publishers simply including a companion banner as part of a native advertising package.

The effects we demonstrate also suggest that advertisers may wish to develop ads and associated disclosures that are characterized by increased levels of sponsorship transparency. This could be accomplished through both purposeful design of advertisements as well as pre-testing using the sponsorship transparency scale. In order to be valid, testing should be conducted using an environment that emulates the context in which consumers will view the content. Due to the value such insights would provide, industry organizations such as the Interactive Advertising Bureau (IAB) may want to spearhead such an initiative to boost sponsorship transparency. Developed guidelines could then be rolled out across a larger set of advertisers, ensuring that benefits are maximized. Increasing sponsorship transparency at an industry-level may also boost general consumer perceptions of online advertising as well.

Finally, from a regulatory perspective, our key findings confirm the appropriateness and value of existing FTC recommendations. First, our finding that a companion banner ad can result in ad recognition levels similar to those achieved with a disclosure, supports the FTC's view that the entirety of a communication be considered in evaluating possible deception (FTC 2015a). Second, the FTC indicates that consumers are likely to respond better to native ads that are more clearly signposted (FTC 2015b). The ameliorating effects we demonstrate due to sponsorship transparency confirm the appropriateness of their advice.

Limitations and Future Research

As with any research, our findings are not without limitations. First, while the controlled environments used for our experiments maximize the precision through which causal effects are tested, they necessarily come at the expense of generalizability. Investigations employing real-world datasets would help to provide insight on more naturalistic responses, as well as whether our findings hold true in non-experimental settings. While participants in our studies were instructed to read the presented article as they normally would read something online, it is possible they may have been more sensitive to the banners than under normal conditions. We therefore encourage future research replicating our findings in more naturalistic settings and using a wider range of stimuli. This might include variation in the type of article-style native advertisement employed as well as variation in a companion banner ad. Such variation could be in terms of features of the advertised product, such as product category or pricing. It could also be in terms of characteristics of either the native ad, such as overtness of a selling message, or also the banner ad, such as its vibrancy. We especially encourage further research exploring our counterintuitive finding that unfamiliar brands increase ad recognition more than familiar brands. This may possibly be due to a novelty effect. Other contextual factors such as where, when, and how a consumer views a native ad may similarly affect results. Investigation of these factors would help to establish moderators and boundary conditions of the primary effect we demonstrate.

Given the growth in video-based online advertising, research on the effectiveness of video ads at triggering ad recognition would be particularly relevant. While it is possible that the richness of video is able to more strongly grab the attention of viewers, consumers may also have learned to 'tune out' such messaging. Better understanding this tension would be valuable. At a broader level, researchers might also examine the efficacy of the effect we showcase in other contexts. For instance, this might include testing whether pre-roll or mid-roll video advertising also boosts ad recognition levels in the same way as a companion banner on a text article. In a social media context, in-feed advertising by a brand may boost recognition of influencer native advertising featuring the same brand.

Another limitation relates to the potential influence that question order may have had on participants' responses. On one hand, it is possible that first gauging participants' recognition of the content as advertising could have influenced subsequent dependent measures. However, it is also possible that gauging participants' attitudes toward the brand before ascertaining advertising recognition could have cued participants into the fact that the content was advertising, thus skewing responses. Recent research on native advertising gauges ad recognition both at the start (e.g. van Reijmersdal et al. 2016) and end (e.g. Boerman, Willemsen, and Van Der Aa 2017) of questions. Since the primary focus of this paper is assessing the ability of a companion banner to trigger ad recognition, we assessed that measure first.

Our findings demonstrate that consumer perceptions of the transparency of article-style native advertising affect their ensuing response to the content. Advertisers that are able to provide disclosure in a manner that is perceived as forthright will fare better than those advertisers that are perceived as hiding or obscuring the true nature of their native ads. We therefore encourage future research to investigate characteristics of native advertising, and the environment in which it's placed that increase perceptions of sponsorship transparency. Such characteristics might include the style, format, wording, and placement of disclosure and source information. Proximity

of disclosure or source information to any clickable buttons or links might also be a factor.

Acknowledgments

We wish to acknowledge funding for data collection provided by a Kent State University College of Business Dean's Summer Research Funding Award and that work on this article was completed while the first author was employed at Kent State University.

Appendix A. Supplementary Data

Supplementary data to this article can be found online at https://doi.org/10.1016/j.intmar.2018.02.002.

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